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Determination of Residential Status

[Sec. 6]



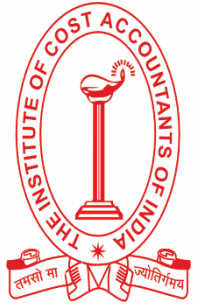
Behind every successful business decision, there is always a **CMA**



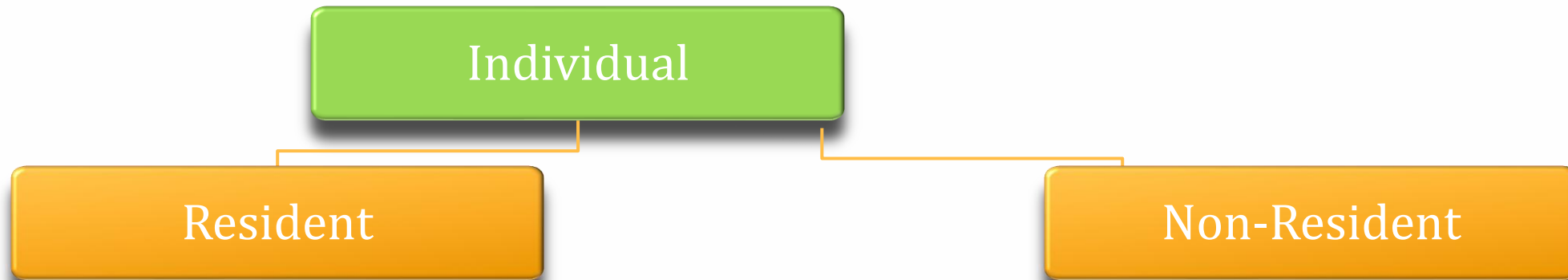
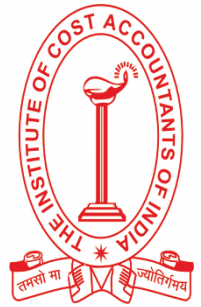
Key Points

- ❑ **Different for each tax year:** Residential status of a person may vary from one tax year to another tax year.
- ❑ **Single Status for each source of income:** A person cannot be a resident for one source of income and non-resident for another source
- ❑ **Impact of citizenship:** A citizen of India may not be a resident in India for the purpose of income-tax.
- ❑ **Country Specific:** A person can have same residential status in more than one country

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Determination of Residential Status: Individual [Sec. 6(2)]



Basic Conditions

Sec. 6(2)(a): T.Y.: Stays 182 days or more

or

Sec. 6(2)(b): T.Y.: Stays 60 days or more + 4 PTY: Stays 365 days or more

22-23

23-24

24-25

25-26

- Stay at same place in India is not necessary.
- Continuous stay in India is not necessary.
- A person shall be deemed to reside in India, if he is on the territorial waters of India.

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Example 1

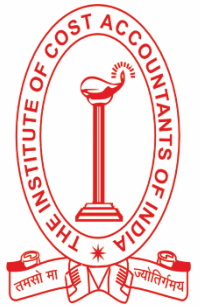
Sam came to India first time during the T.Y. 2026-27. During the tax year, he stayed in India for

- (i) 50 days;
- (ii) 183 days; &
- (iii) 153 days

Determine his residential status for the tax year 2026-27.

Solution

- (i) Non-Resident; (ii) Resident; (iii) Non-Resident



Example 2



Andy, a British national, comes to India for the first time during 2022-23. During the financial years 2022-23, 2023-24, 2024-25, 2025-26 and 2026-27, he was in India for 55 days, 60 days, 80 days, 160 days and 70 days respectively. Determine his residential status for the T.Y. 2026-27.

Solution

During the tax year 2026-27, Andy was in India for 70 days & during 4 years immediately preceding the tax year, he was in India for 355 days as shown below:

Year	2022-23	2023-24	2024-25	2025-26	Total
No. of days stayed in India	55	60	80	160	355

Thus, he does not satisfy Sec.6(2) & consequently, he is a non-resident in India for the T.Y. 2026-27.



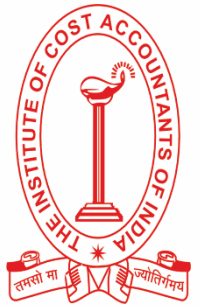
Exceptions: Where sec. 6(2)(b) is not applicable

- An Indian citizen leaving India during the tax year:
 - a. for the purposes of employment outside India; **or**
 - b. as a member of crew of an Indian ship

- An Indian citizen or a person of Indian origin, who being outside India, comes on a visit to India during the tax year.

Person of Indian origin means an individual who or either of his parents or any of his grand parents was born in undivided India. Here, grand parents may be paternal or maternal.

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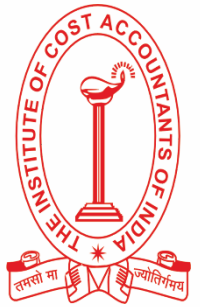
Exceptions: Where modified sec. 6(2)(b) is applicable

In case of an Indian citizen or a person of Indian origin comes on a visit to India during the tax year, sec. 6(2)(b) is applicable with following modification:

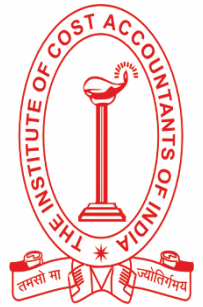
Case	Modified condition
His total income, other than the income from foreign sources, exceeds ₹ 15 lakhs during the tax year	He is in India for a period of 120 days or more (but less than 182 days) during the TY & for 365 or more days during 4 immediately preceding Tys
His total income, other than the income from foreign sources, does not exceed ₹ 15 lakhs during the tax year	The condition is not applicable

"Income from foreign sources" means income which accrues or arises outside India (except income derived from a business controlled in or a profession set up in India) and which is not deemed to accrue or arise in India.

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Provision in Brief to become Resident



Indian Citizen leaving India during the tax year for the purpose of employment or as a member of the crew of an Indian ship

Stay in India for atleast 182 days during the tax year 2026-27

Indian citizen or person of Indian origin reside abroad comes to India for visit purpose and his income other than income from foreign sources $< ₹ 15,00,000$

Stay in India for atleast 182 days during the tax year 2026-27

Indian citizen or person of Indian origin reside abroad comes to India for visit purpose and his income other than income from foreign sources $> ₹ 15,00,000$

Stay in India for atleast:

- 182 days during the tax year 2026-27

OR

- 120 days during the tax year 2026-27; &
- 365 days during 01-04-2022 to 31-03-2026

Any Other Case

Stay in India for atleast:

- 182 days during the tax year 2026-27

OR

- 60 days during the tax year 2026-27; &
- 365 days during 01-04-2022 to 31-03-2026

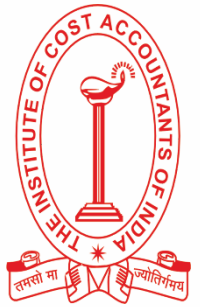
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Deemed Resident [Sec. 6(7)]

An individual shall be deemed to be resident in India, if following conditions are satisfied

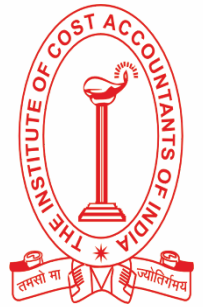
- a. He is a citizen of India
- b. His total income, other than the income from foreign sources, exceeds ₹ 15 lakhs during the tax year;
- c. He is not satisfying any of the basic conditions given u/s 6(1) [i.e., 182 days **or** 60 days + 365 days]; and
- d. He is not liable to tax in any other country or territory due to his domicile or residence or similar criteria.



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Example 3



Miss Pal, an Indian citizen, left India for first time on 1st April, 2026 for joining job in Tokyo. She came to India on 11th Jan, 2027 for only 170 days. Determine her residential status for tax year 2026-27

Solution

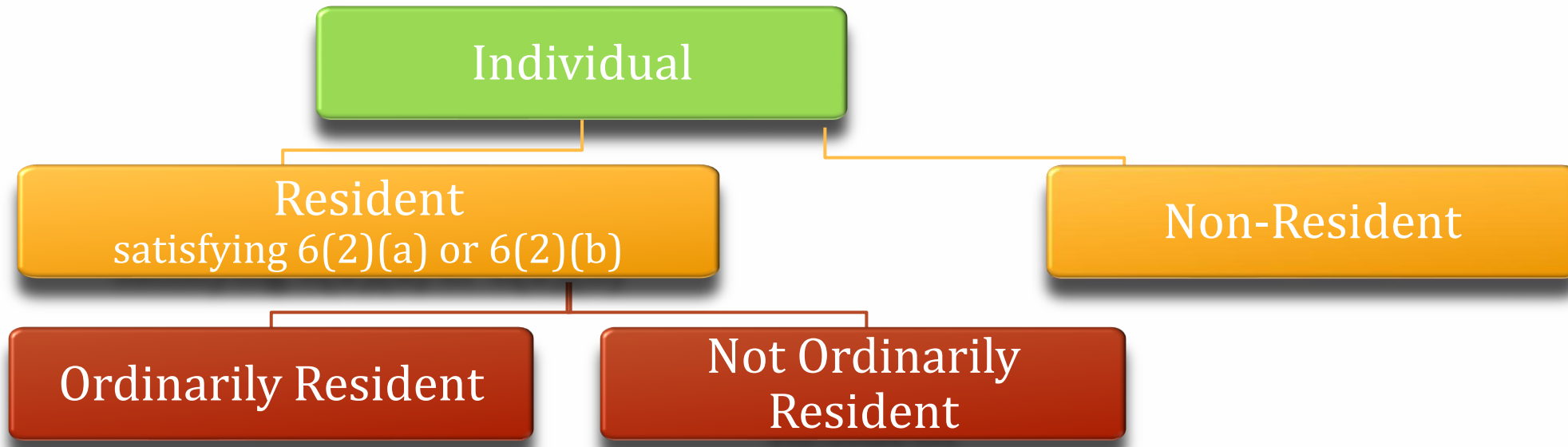
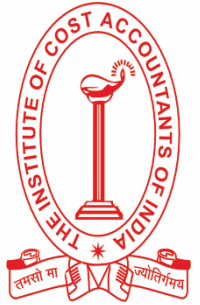
Number of days Miss Pal stayed in India can be calculated as under:

T.Y.	Apr	May	June	July	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Total
26-27	1	-	-	-	-	-	-	-	-	21	28	31	81
27-28	30	31	29	-	-	-	-	-	-	-	-	-	90

Since she left India for employment purpose, hence for becoming resident she has to stay in India for at least 182 days. However, she is in India for only 81 days during the tax year, thus she is a non-resident for the tax year 2026-27



Determination of Residential Status: Individual



Additional Conditions [Sec.6(13)]

1. **7** P.T.Y.: Stays 730 days or more
and
2. **10** P.T.Y.: at least 2 times resident

2025-2026

2024-2025

2023-2024

2022-2023

2021-2022

2020-2021

2019-2020

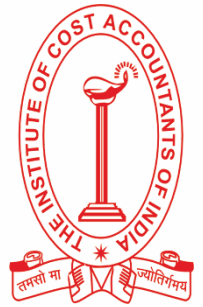
2018-2019

2017-2018

2016-2017



Exceptions



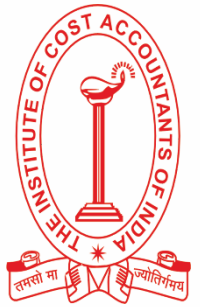
An individual shall be **deemed to be resident but not ordinarily resident** in India, if

- ☐ He was considered as deemed resident u/s 6(7); or
- ☐ He was resident by satisfying modified conditions of sec. 6(2)(b) [i.e., 120 days + 365 days]

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Example



Case	A	B	C	D	E	F	G	H
Citizenship	Foreign	India	India	India	Foreign	Foreign	India	Foreign
Is he person of Indian origin	Yes	Yes	Yes	Yes	Yes	Yes	Yes	No
Total income (excluding income from foreign source) exceeds ₹ 15,00,000	Yes	No	Yes	Yes	Yes	Yes	No	No
Liable to pay tax in other country	No	No	No	Yes	No	No	No	No
Stay in India during the tax year	30	30	30	30	138	185	85	85
Stay in India during 4 years immediately preceding tax year	380	380	380	380	380	180	380	380
Are dual conditions given u/s 6(13) satisfied	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Residential Status	NR	NR	NOR	NR	NOR	ROR	NR	ROR

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Example

Ram an Indian citizen employed in a foreign country came to India on 1st November, 2026 and remained in India up to 5th March, 2027. His total income is ₹ 27 lakh for the tax year ended 31st March, 2027 which included income in India of ₹ 15,20,000. He visits India every year for a stay of 125 days. He paid income-tax in respect of his foreign income in the said country. Determine his residential status

Solution

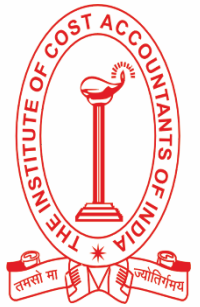
Since he was in India for the tax year 2026-27 only for 125 days, he does not satisfy the first basic condition.

Further, he is a person of Indian origin comes on a visit to India and his income in India exceeds ₹ 15 lakhs, the second condition shall be read as under:

- a. During the relevant tax year, he is in India for 120 days or more; and
- b. His stay in India during the 4 tax years preceding the tax year 2026-27 is 365 days or more

As he was in India for 125 days during the tax year 125 days and his aggregate stay in 4 immediately preceding tax years is 500 days (125 days x 4 years), hence he satisfies the second basic condition. Therefore, he is a resident.

Further, since he is a person of Indian origin having total income other than income from foreign sources (Indian income) exceeding ₹ 15 lakhs and has stayed for 120 days or more but less than 182 days, his status would be resident but not ordinarily resident (RNOR).



Example

Dr. Bharat, an Indian citizen, living outside India came to India on 5th April, 2026 and remained in India up to 10th August, 2026. During his stay in India, he earned income of ₹ 16,50,000. His stay in India was 60 days each in earlier financial years. There is no income-tax in the country in which he is a resident. Determine his residential status

Solution

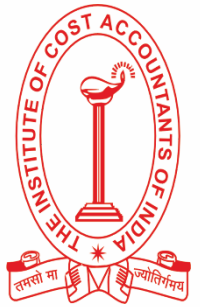
During the tax year 2026-27, he was in India for 128 days only, hence, he does not satisfy the first basic condition. Further, he has stayed for only 60 days in the earlier tax years, he would not satisfy the second basic condition also (i.e. 365 days or more in 4 immediately preceding tax years).

However, as per sec. 6(7), an individual shall be deemed as resident if the following are satisfied:

- a. He is a citizen of India;
- b. His total income, other than the income from foreign sources, exceeds ₹ 15 lakhs during the tax year;
- c. He is not satisfying any of the basic conditions [i.e., 182 days **or** 60 days + 365 days]; and
- d. He is not liable to tax in any other country or territory by reason of his domicile or residence or any other criteria of similar nature.

Therefore, applying sec. 6(7), Dr. Bharat is a deemed resident in India for the tax year 2026-27 as his income in India exceeds ₹ 15 lakhs and he is not liable to tax in any other country by reason of his domicile or residence. However, an individual, who is deemed resident u/s 6(7), shall be “resident but not ordinarily resident”.

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Example 4

Miss Monica, a foreign national, comes India every year for 90 days since 2005-06.

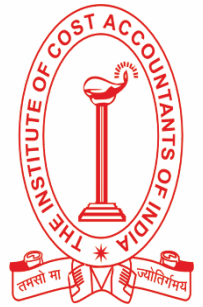
- a) Determine her residential status for the tax year 2026-27.
- b) Will your answer differ, if she comes India for 100 days instead of 90 days every year.
- c) Will your answer differ, if she comes India for 110 days instead of 90 days every year.

Solution

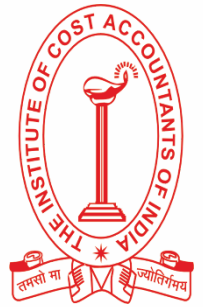
Since Miss Monica stayed for 90 days during the tax year 2026-27 and for 360 days ($90 \text{ days} \times 4 \text{ years}$) during the 4 years immediately preceding the tax year, hence, she is not satisfying any of the conditions of sec. 6(2). Thus, she is a non-resident

Since Miss Monica stayed for 100 days during the tax year 2026-27 and for 400 days ($100 \text{ days} \times 4 \text{ years}$) during the 4 years immediately preceding the tax year, hence, she is satisfying sec. 6(2)(b). Thus, she is resident for the tax year 2026-27. Further, she resides for only 700 days ($100 \text{ days} \times 7 \text{ years}$) during the 7 years immediately preceding the tax year. Hence, she does not satisfy one of the conditions of sec. 6(13). Thus, she is resident but not ordinarily resident

Since Miss Monica stayed for 110 days during the tax year 2026-27 and for 440 days ($110 \text{ days} \times 4 \text{ years}$) during the 4 years immediately preceding the tax year, hence, she is satisfying sec. 6(2)(b). Thus, she is resident for the tax year 2026-27. Further, she resides for 770 days ($110 \text{ days} \times 7 \text{ years}$) during the 7 years immediately preceding the tax year and also satisfies 2/10 criteria. Hence, she is satisfying both conditions of sec. 6(13). Thus, she is resident & ordinarily resident



Computation of period of stay in India for an Indian citizen, being a member of the crew of a foreign bound ship [Rule 8 – Old 126]



In the case of an individual, being a citizen of India and a member of the crew of a ship, the period of stay in India shall, in respect of an eligible voyage, not include the following period:

Period beginning	Period ending
Period beginning on the date entered into the Continuous Discharge Certificate in respect of joining the ship by the said individual for the eligible voyage	Period ending on the date entered into the Continuous Discharge Certificate in respect of signing off by that individual from the ship in respect of such voyage

“Eligible voyage” shall mean a voyage undertaken by a ship engaged in the carriage of passengers or freight in international traffic where-

- i. for the voyage having originated from any port in India, has as its destination any port outside India; &
- ii. for the voyage having originated from any port outside India, has as its destination any port in India’

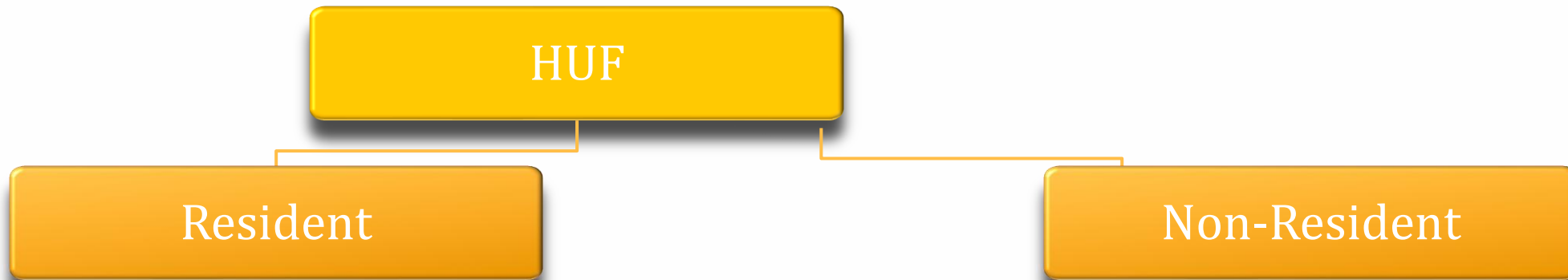
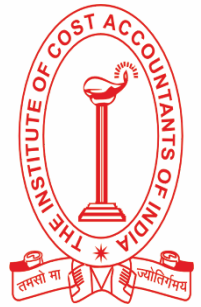
Example:

In the Continuous Discharge Certificate the date of joining is recorded as 1st January 2027 and the date of ending the voyage is recorded as 31st January 2027, then the entire period of 31 days shall be excluded from his stay in India

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Determination of Residential Status of HUF [Sec. 6(9) with (13)]



An HUF is resident in India if the control & management of its affairs is ***wholly or partly*** situated in India.

An HUF is non-resident in India if the control & management of its affairs is ***wholly*** situated outside India.

Karta

Ordinarily Resident

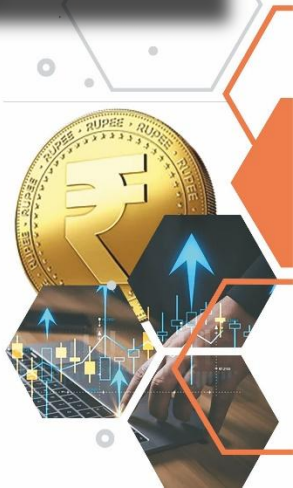
Not Ordinarily Resident

Residential status of karta for the tax year is not important but his status for preceding 10 years is important.

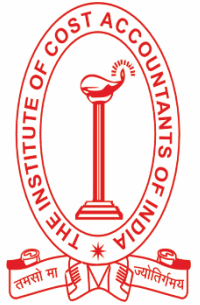
Additional Conditions [Sec.6(13)]

1. **7** P.T.Y.: Stays 730 days or more
and
2. **10** P.T.Y.: at least 2 times resident

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Determination of Residential Status of Company [Sec. 6(10)]



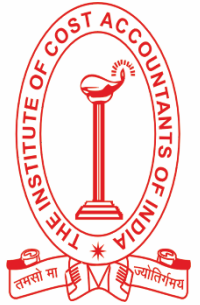
A *non-Indian company* is said to be a resident in India, if its place of effective management, in that tax year, is in India.

“Place of effective management” means a place where key management and commercial decisions necessary for the conduct of business of the company as a whole, are in substance made.

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Determination of Residential Status of Others [Sec. 6(9) & (11)]

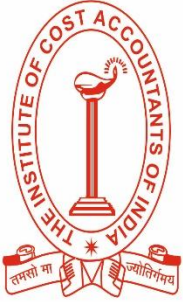


if **control & management** of its affairs are **wholly or partly** situated in India during the relevant tax year.

if **control & management** of its affairs are **wholly** situated outside India during the relevant tax year.

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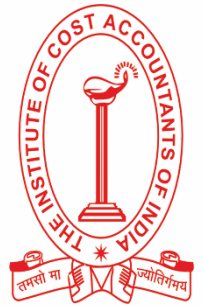
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Scope of Total Income [Sec. 5]

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Incidence of Tax

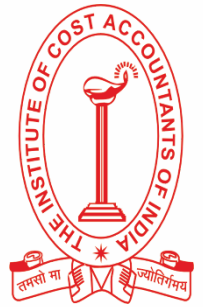


Particulars	ROR	RNOR	NR
Income either accrued or deemed to be accrued or received or deemed to be received in India	Taxable	Taxable	Taxable
Income accrued and received outside India from a business controlled in or profession set-up in India.	Taxable	Taxable	Not taxable
Income accrued and received outside India from a business controlled or profession set-up outside India.	Taxable	Not taxable	Not taxable
Income accrued and received outside India in the tax year (it makes no difference if the same is later remitted to India).	Taxable	Not taxable	Not taxable

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Incidence of Tax



- ❑ **Considered only in Balance Sheet:** Income accruing or arising outside India shall not be deemed to be received in India within the meaning of sec. 5 by reason only of the fact that it is taken into account in a balance sheet prepared in India.
- ❑ **No Double Taxation:** Income which has been included in the total income of a person on the basis that it has accrued or arisen or is deemed to have accrued or arisen to him shall not again be so included on the basis that it is received or deemed to be received by him in India.
- ❑ **First Receipt:** The receipt of income refers to the first occasion when the recipient gets the money under his control
- ❑ **Salary in NRE Account:** Salary accrued to a non-resident seafarer for services rendered outside India on a foreign going ship (with Indian flag or foreign flag) shall not be included in the total income merely because the said salary has been credited in the NRE account maintained with an Indian bank by the seafarer.

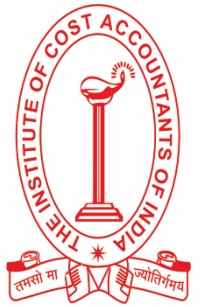
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Example

Ram provides following details of income, calculate the income which is liable to be taxed in India for the tax year 2026-27 assuming that –

(a) He is an ordinarily resident; (b) He is not an ordinarily resident; (c) He is a non-resident.



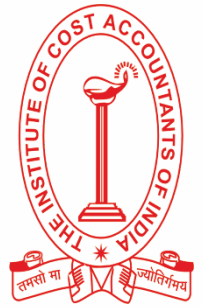
Particulars	Amount
Salary received in India from a former employer of UK	1,40,000
Income from tea business in Nepal being controlled from India	10,000
Interest on company deposit in Canada (1/3 rd received in India)	30,000
Profit from a business in Mumbai controlled from UK	1,00,000
Profit for the year 2024-25 from a business in remitted to India	2,00,000
Income from a property in India but received in USA	45,000
Income from a property in London but received in Delhi	1,50,000
Income from a property in London but received in Canada	2,50,000
Income from a business in Jambia but controlled from Turkey	10,000

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Solution

Calculation of income liable to be taxed in India of Ram for the tax year 2026-27

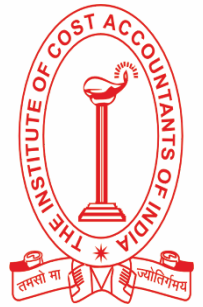


Particulars	Resident & Ordinarily resident	Resident but not ordinarily resident	Non-resident
Salary received in India from a former employer of UK	1,40,000	1,40,000	1,40,000
Income from tea business in Nepal being controlled from India	10,000	10,000	Nil
<u>Interest on company deposit in Canada -</u>			
- 1/3 rd received in India	10,000	10,000	10,000
- 2/3 rd received outside India	20,000	Nil	Nil
Profit from a business in Mumbai controlled from UK	1,00,000	1,00,000	1,00,000
Past Profit from a business in Tokyo remitted to India	Nil	Nil	Nil
Income from a property in India but received in USA	45,000	45,000	45,000
Income from a property in London but received in Delhi	1,50,000	1,50,000	1,50,000
Income from a property in London but received in Canada	2,50,000	Nil	Nil
Income from a business in Jambia but controlled from Turkey	10,000	Nil	Nil
Income liable to tax in India	7,35,000	4,55,000	4,45,000

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Income deemed to be received in India [Sec. 7] [Old 7 & 8]



Following incomes shall be deemed to be received in India and taxable in hands of all assessee irrespective of their residential status -

- a) The annual accretion in the tax year to the balance at the credit of an employee participating in a recognized provident fund, to the extent provided in Para 6 of part A of the Schedule XI
- b) The transferred balance in recognised provident fund, to the extent provided in para 11(4) & (5) of Part A of Schedule XI
- c) The contribution made, by the employer in the tax year, to the account of an employee under a pension scheme notified u/s 124
- d) Tax Deducted at source [Sec. 396], subject to certain exception

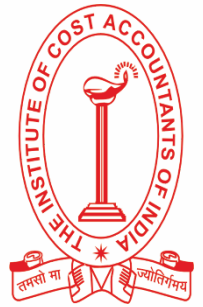
In case of dividend, following rule shall be followed:

Case	Year of taxability
Normal Dividend	Year in which it is declared by the company
Interim Dividend	Year in which amount of dividend is unconditionally made available
Deemed Dividend u/s 2(40)	Year in which it is distributed or paid by the company

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Income deemed to accrue or arise in India [Sec. 9]



Following incomes are deemed to accrue or arise in India:

Income from connection in India	Salary earned in India	Salary from Govt. to an Indian citizen for services rendered outside India	Income from dividend paid by an Indian company	Income from interest payable by specified person	Income from royalty	Income from technical services	Receipt of gift by non-resident or a RNOR or a foreign company
Sec. 9(2)	Sec.9(3)(a)	Sec.9(3)(b)	Sec. 9(4)	Sec. 9(5)	Sec. 9(6)	Sec. 9(7)	Sec. 9(8)

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- ❑ Employment does not mean job only. If an individual leaving India for setting up his business outside India, he is also covered by the exception to (60 + 365) days criteria
- ❑ If an individual plans to stay in India for longer period say for 200 days, he need to plan his in such a way that his stay is divided in two tax year E.g. if a foreign national came India first time on 20-12-2026 for 200 days, he shall not be considered as a resident for tax year 2026-27 and as well for tax year 2027-28. However, if he came India on say 01-06-2026 for 200 days, he is a resident (though not ordinarily) for tax year 2026-27
- ❑ Both the date of arrival as well as date of departure shall be included
- ❑ An Indian citizen or person of Indian origin who resides outside India can stay in India continuously for 238 days without losing his non-resident status, if plan his journey wisely scattered in two tax year.



Example



X, being an Indian citizen, got a job offer in UK. He wants -

- to stay in India as long as possible; and
- to be a non-resident in India.
- Advise him, when should he depart for UK?

Solution

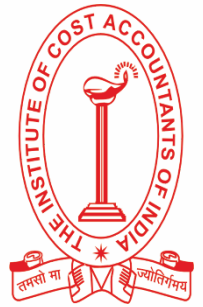
Since he is an Indian citizen leaving India for employment purpose, he falls in exceptions. Therefore, he shall be treated as non-resident if he does not reside in India for 182 days or more. Thus, he can stay in India for less than 182 days during the tax year. Therefore, he should depart from India for UK on or before Sept. 28, 2026, as shown below -

T.Y.	Apr	May	June	July	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Total
26-27	30	31	30	31	31	28	-	-	-	-	-	-	181

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Details in ITR



In Part A - General Information Schedule of the ITR, we are required to select residential status and also need to select the conditions for residential status from the drop down:

(f). Residential Status in India (For Individuals) *

Resident ▼

Conditions for Residential Status (Applicable for Individual only)

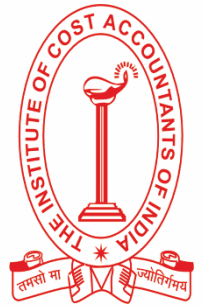
Select ▼

In case, assessee is non-resident, he is also required to provide the following information:

- ☐ Jurisdiction(s) of residence
- ☐ Taxpayer Identification Number(s)



Schedule FA: Details of Foreign Assets and Income from any source outside India



A1. Details of Foreign Depository Accounts held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

A2. Details of Foreign Custodial Accounts held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

A3. Details of Foreign Equity and Debt Interest held (including any beneficial interest) in any entity at any time during the calendar year ending as on 31st December, 2026

A4. Details of Foreign Cash Value Insurance Contract or Annuity Contract held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

B. Details of Financial Interest in any Entity held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

C. Details of Immovable Property held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

D. Details of any other Capital Asset held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026

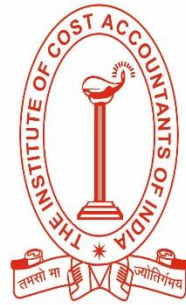
E. Details of account(s) in which you have signing authority held (including any beneficial interest) at any time during the calendar year ending as on 31st December, 2026 and which has not been included in A to D above

F. Details of trusts, created under the laws of a country outside India, in which you are a trustee, beneficiary or settlor

G. Details of any other income derived from any source outside India - (i) which is not included in items A to F above or, (ii) income under the head business or profession



Thank You



ICMAI
THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA

भारतीय लागत लेखाकार संस्थान

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